

SOPHISTICATED FINANCIAL PRODUCTS HAVE ARRIVED...

Equity Derivatives: Options and futures contracts where the underlying assets are individual stocks or indices

Commodity Derivatives: Done on commodities like steel, copper, aluminium through options and future contracts

Currency Futures: Derivative products where one enters into a contract with another for exchange of currency

Interest Rate Futures: Hedges the interest rate risk as buyer takes an opposite position by entering an interest rate futures contract

Volatility Index: Captures the volatility in an index over a period of time

Algorithmic Trading: Uses computer programmes to enter trading order to give the best result in terms of pricing to a buyer or a seller

raise debt in the country — and that may be just what's needed. So: an international railway project could issue bonds in the primary market in Mumbai. Global investors could then buy these bonds and trade them in the secondary market in Mumbai. Even Indian corporates could raise huge amounts of debt for mega-projects in infrastructure and related sectors.

The Indian equity market has doubtless evolved over the past decade, but then experts say the biggest chunk of trading in international finance centres is not built around equities. "The stakes are higher in products like currency and interest rate derivatives," says Srinivasan, who has spent five years in Hong Kong. Derivatives have just made a beginning in India, but for them to reach the sophistication — and not necessarily exoticism — of such products in the West will take some time.

A view prevalent in the country's

commercial capital is that the time is ripe for capital account convertibility, which will allow for easy exchange of local currency with foreign currencies at market-determined rates. It is argued that India is a capital-

... AND THE SCEPTICS



UDAY KOTAK
MD, Kotak Mahindra Bank

"There is a shift towards the East... We have the software, what's missing is the hardware of governance"



AJAY SRINIVASAN
CEO of Financial Services,
Aditya Birla Group

"The primary market numbers are not large enough compared to the global financial centres"

deficient country, and needs dollops of external capital to finance its development. Similarly, experts point out that if India has to become an international finance centre, its multiple regulators (the Reserve Bank of India, the Securities and Exchange Board of

... BUT THERE ARE SOME GLARING GAPS

● **Absence of an independent debt management office:** The RBI is reluctant to issue rupee-denominated Indian public debt in global debt markets, which restricts growth of domestic debt markets

● **Lack of integration in financial markets:** Multiple regulators like the RBI, SEBI, IRDA and Forward Markets Commission make the task of regulation and supervision unwieldy

● **No capital account convertibility:** The argument for opening the capital account is that India is a capital-deficient country that needs large amounts of external capital to finance its development

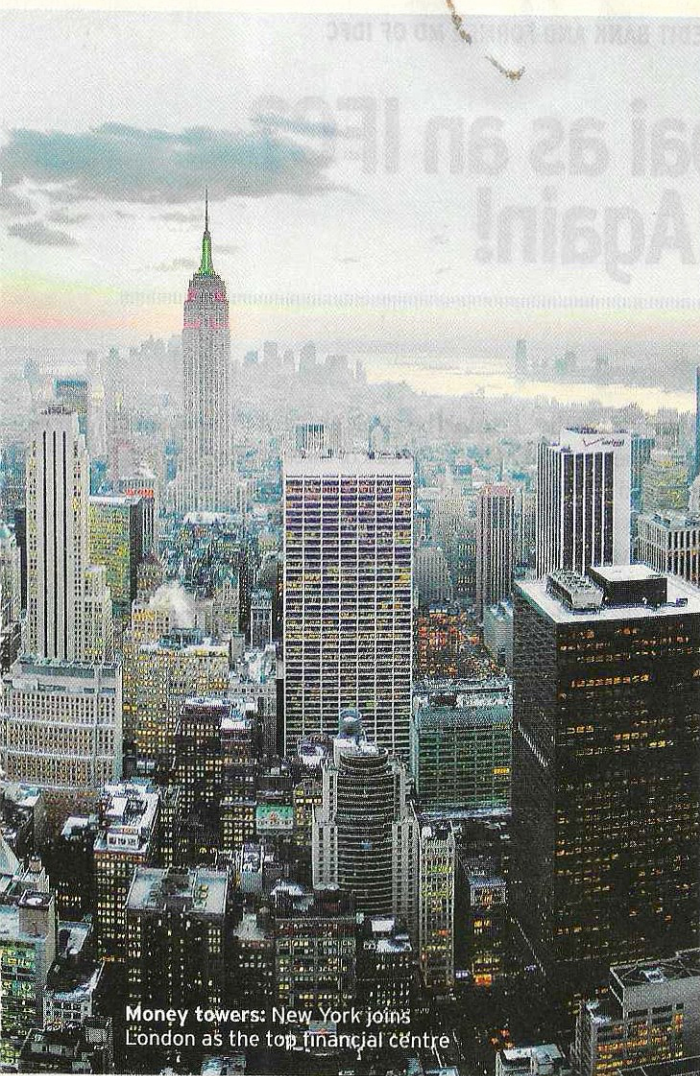
● **Inadequate tax and legal reform:** Not enough is being done to rationalise taxation of financial services and transactions

Source: Based on the recommendations of the Percy Mistry-chaired high-powered expert committee on making Mumbai an international finance centre

India, the Insurance Regulatory and Development Authority, the Forward Markets Commission) have to be more integrated; or better still, a single regulator should take on the task of regulation and supervision.

For industrialists who have built their fortunes in the city, such hurdles aren't enough to dampen their enthusiasm. Says Venugopal Dhoot, Chairman of Videocon Group: "Mumbai is a global centre in the true sense as one can virtually control all the big markets of the world due to our time zone advantage."

That's great, but even if you assume that all the financial, legal and tax reforms are in place, Mumbai still lacks something that most financial centres — even regional ones — have: a quality of life. Srinivasan points out that in Hong Kong he could actually take time out for a jog during a lunch break, have a shower and get back into the office. "That's something we cannot think of doing here," says Srinivasan, with a shrug, as he looks down at the gridlock on the road below him from the 18th floor of the One Indiabulls Centre in central Mumbai. The solution doesn't call for rocket science. As Kotak says: "We have the software, what's missing is the hardware of governance." ☉



Money towers: New York joins London as the top financial centre

THE TOP FINANCIAL CENTRES

RANK	CITY	PROFILE OF FINANCIAL CENTRE	RATING POINTS
1	London and New York	Global (Diversified & Specialised)	775
3	Hong Kong	Global (Diversified & Specialised)	739
4	Singapore	Global (Diversified & Specialised)	733
5	Tokyo	Transnational (Diversified & Specialised)	692
6	Chicago	Global (Diversified & Specialised)	678
7	Zurich	Global (Diversified & Specialised)	677
8	Geneva	Global (Specialised)	671
9	Sydney	Transnational (Diversified & Specialised)	670
9	Shenzhen	Transnational (Specialised)	670
11	Shanghai	Global (Emerging)	667
58	Mumbai	Transnational (Emerging)	562

Source: Study on Global Financial Centres commissioned by the City of London
A Global FC denotes that 75% of respondents in other centres have experience of working in it

A Transnational FC denotes that 50% of respondents in other centres have experience of working in it

The rating points and rankings were arrived at by considering 64 factors encompassing People, Business Environment, Infrastructure, Market Access and General Competitiveness.

Tokyo, which has a rating higher than some GFCs like Zurich or Toronto, but loses out on connectivity. It has cities like Boston, Stockholm and Melbourne as the top TFCs. A lot of European cities are diversified TFCs — Amsterdam, Copenhagen, Dublin, Madrid, Milan and Vienna along with South Korea's Seoul. Almost all the specialist TFCs are in island nations that can also be tax havens — the British Virgin Islands, the Cayman Islands, Taipei and the Isle of Man. Keeping Mumbai company among the emerging TFC contenders are Bangkok and Kuala Lumpur.

The ideal route for Mumbai would be to move from being an emerging TFC to a diversified TFC and then get into either the emerging GFC slot or that of an established TFC with depth and breadth. Interestingly, there are some cities that have a higher rating than Mumbai but are not considered TFCs, only as Local Financial Centres, which form the third and lowest rung. Among them are Washington DC and Johannesburg — considered broad and deep LFCs.

The traditional GFCs of Hong Kong and Singapore figure at No. 3 and No. 4, respectively, ahead of the emerging centres like Dubai, Shanghai and Beijing. Notwithstanding the rapid strides being made by the emerging economies, Hong Kong appears likely to cling on to its pride of place for some time to come. "Hong Kong has a huge hinterland advantage with access to a Chinese customer base, which is not the case with Singapore," says Ajay Srinivasan, Head of Financial Services at the Aditya Birla Group, who has spent four years in Hong Kong with Prudential Asia. "Many Chinese companies raise billions of dollars through the Hong Kong market. The liberal tax laws — both for individuals and companies — make Hong Kong and even Singapore attractive destinations for corporations and financial services companies," he adds.

The hinterland is an advantage that Mumbai shares with Hong Kong. But that may be the only one, what with the capital account unlikely to be opened up in the short term, and tax and legal reform moving at a snail's pace. ☉